# 1. Forecasting and Managing Cashflow

## 1.1. What is Cashflow?

The sum of cash transaction to a business minus sum out of business.

Example: Paying the bank loan (outflow) for the money that was taken by the business via the bank (inflow).

Without sufficient cash flow, a business can become **insolvent** and force the business into liquidation.

Insolvency: when a business is unable to pay its short-term debt, it becomes insolvent.

**Net cashflow:**

It is the total sum of cash going in and out of the business.

**Net cashflow equation:**

- Cash Inflow – Cash Outflow.

### 1.2. Cash vs profit:

- A profitable business may fail due to insufficient cash
- Having enough cash – short term goal
- Good profits – long term goal

**Why new entrepreneur need cashflow planning:**

- New businesses have less credit time
- Banks may not be willing to lend
- Limited finance at the beginning

## 1.3. Cash Inflow:

Cash going in the business as cash payment/injection.

**Common example of cash inflow are:**

1. Owner's own capital injection.
2. Bank loan payment.
3. Customer's cash purchase.
4. Trade receivables.

The first two mentioned are easy to forecast as they have known variable.

Example:

- Bank loan payment is fixed.
- Owners know the sum of money they will inject.

Last two mentioned are difficult to forecast as they contain unknown variable:

- Customer cash purchase might change depending on sales.
- Debtor might pay money earlier or later than agreed date at times. Or in some cases, they are very unlikely to ever pay, thus it becomes **bad debt.**

Bad debt: unpaid customers' bill that are highly unlikely to ever be paid.

## 1.4. Cash outflow:

Cash going out of the business as payment to suppliers, workers in form of wage and more.

**Common examples are:**

1. Lease payment for premise.
2. Annual rent payment.
3. Utility (electricity, gas and water) bill.
4. Cost of material and payment to supplier.
5. Wage payment.

The first two are easy to forecast as they have fixed variable.

The last 3 mentioned are difficult to forecast as they have depending factors:

- Utility bill depends on season, weather etc.
- Cost of material and supplier payment can change depending on consumer demand and credit available.
- Wage payment depends on no. of full time, part time workers and hours worked.

Creditor: suppliers who agreed to supply materials on credit and those who not been paid yet.

## 1.5. Cashflow forecast

Estimation of future cash inflow and outflow of a firm.

**Why do business requires them for their business plan?**

- Acquiring finance: Shows well thought out planning done by firm, thus firms are more lenient to give loan to starts up.
- It makes the banks/investor thinks the chances of success are higher than they would think without forecast.
- Their credit given by supplier is shorter so forecasting helps gather the sum for payment.

The structure of cashflow forecast might be the following:



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Projected cash flow forecast for a business for three months

| | April | May | June |
|---|---|---|---|
| **Cash inflows** | | | |
| Sales | 10,000 | 13,000 | 14,500 |
| Investments | 3,000 | 2,000 | 1,000 |
| New capital | 1,000 | 0 | 1,000 |
| **Total incoming cash** | **14,000** | **15,000** | **16,500** |
| | | | |
| **Cash Outflows** | | | |
| Supplier payments | 2000 | 3000 | 3000 |
| Marketing | 1200 | 1000 | 1000 |
| Equipment | 2000 | 0 | 2000 |
| Payroll | 3000 | 3000 | 5000 |
| **Total outgoing cash** | **8,200** | **7,000** | **11,000** |
| | | | |
| **Net cash flow** | **5,800** | **8,000** | **5,500** |
| | | | |
| **Opening Balance** | 0 | 5,800 | 13,800 |
| **Closing Balance** | 5,800 | 13,800 | 19,300 |

Books

Closing balance: cash held by a business at the end of a month after cash flow calculation.

It becomes next month's opening balance such as 5,800$ for May.

Opening balance: cash kept by the business at the beginning of the month.

### Benefit and Drawback of Cashflow Forecast:

| Benefits | Limitations |
|---|---|
| They show possible negative net cash flow, thus allowing business to find reason of such to fix the issue or gather additional finance. | Unexpected cost increase due to changes in variables, leading to inaccuracies in the forecast. |
| By indicating possible negative cash flow in a time period, business can plan to minimize the negative net flow. | Incorrect assumption regarding sales/cost of sales by the business can occur. |
| They are essential for all business plans, without it, acquiring finance by lenders are exhaustingly hard. | Mistakes can be made by the person making the forecast, leading to inaccuracies. |

## 1.6. Cause of Cashflow Problems

- Lack of planning in cases of business not efficiently forecasting out cash flow management, it leads to higher unexpected cost and other negative factors.
- If a business keeps loosely/ill sufficient record of cash flow, then they might not chase trade receivable and can receive trouble for late trade payable.
- Many firms allow trade credit to be competitive in the market. This is beneficial although if the credit goes for example, 2 month long, it leads to lower short-term cash inflow and increases the likelihood of bad debt.
- Overtrading/expanding a business rapidly without obtaining all of the necessary finance thus a cash flow shortage develops.
- Unforeseen cost due to variable factor such as demand varying too much.

## 1.7. How to improve cashflow? (Increasing cash inflow)

| Methods | How it works | Potential Drawback |
|---|---|---|
| Overdraft | A flexible source of cash from a bank that can be borrowed till an agreed limit. | ·Interest rates can be high. |
| | | There may be an arrangement fee. |
| Short term loan | A fixed amount can be borrowed for an agreed length of time. | The interest costs have to be paid. |
| | | The loan must be repaid by the due date. |
| Sale of assets | Selling off redundant assets, which will boost cash inflow. | Selling assets quickly can result in a low price. |
| | | The assets might be required at a later date for expansion. |
| | | The assets could have been used as collateral for future loans. |
| Sale and leaseback of Assets | Assets can be sold (for example to a finance company), but the assets can be leased back from the new owner. | The leasing costs add to annual overheads. |
| | | There could be loss of potential profit if the assets rise in price. |
| | | The assets could have been used as collateral for future loans. |

## 5. Trade Receivables:

| How it works? | Possible Drawbacks |
|---|---|
| Not extending credit to customers or asking customers to pay more quickly. | Customer might buy from someone who offer credit. |
| Selling claims on trade receivables to specialist financial institutions called debt factors. | Fee needs to be paid for service. |
| | 100% of value isn't returned. |
| Finding out whether new customers are creditworthy. | It is time consuming. |
| Offering a discount to customers who pay promptly. | Reduces profit margin on sale. |



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## 1.8. How to improve cashflow? (Improving cash outflow)

| Methods | How it works | Potential drawback |
|---|---|---|
| Delay capital expenditure | By not buying equipment, vehicles etc. | The efficiency of the business may fall if inefficient equipment is not replaced. |
| | | Expansion becomes very difficult. |
| Usage of leasing | The leasing company owns the asset and no large cash outlay is required. | The asset is not owned by the business. |
| | | Leasing charges include an interest cost and add to annual overheads. |
| Cut overhead costs that do not directly affect output | The business will decreases the outflow of cash by cutting unnecessary cost. These won't cause change in production capacity. | These costs will not reduce production capacity and cash outflows will be reduced. |
| | | Future demand may be reduced by failing to promote the products effectively. |

### 4. Trade Payables:

| How it works? | Possible Drawbacks |
|---|---|
| Purchasing more supplies on credit and not cash. | If a business has a good credit rating, this may be easy, but in other circumstances it can be difficult. |
| Extend the period of time taken to pay | If the business is small, it is harder to insist on longer credit periods from suppliers. |

## 1.9. Cash management

- Use cash flow forecast
- Plan for future and range external finance when needed

### Working capital increase – permanent

- Long term loans
- Issue of shares



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